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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Sensitivity

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Scott Wren
Senior Global Equity Strategist

Last Week's S&P 500 Index:
+0.2%

Key takeaways

- *Investors have been—and likely will continue to be—sensitive to any information or comments pertaining to trade negotiations or global growth.*
- *We continue to expect trade negotiation positives over time which should support our year-end target and earnings estimate for the S&P 500.*

Global trade is a big deal because close to 40% of the revenues for the S&P 500 Index companies come from outside the United States. We need help from the major economies across the world to meet (and hopefully exceed) our earnings estimates for the index this year. On a more granular level, the trade discussions between the U.S and China are a big deal when it comes to the volume of global trade. In fact, in our opinion, a positive outcome in these trade discussions would likely have a big influence on the expectations for global economic growth in the years (not just quarters) ahead. Our stance has continued to be that we expect positives to come out of these discussions over time. And clearly to us, the stock market has some degree of trade negotiation success priced into the market, but the magnitude of this success is certainly debatable.

Large-capitalization domestic equities are not the only stocks sensitive to a successful outcome in the ongoing trade negotiations. Emerging market (EM) equities also have a lot riding on the talks. We currently rate this equity asset class as Most Favorable. EM companies in big exporting countries like South Korea and Taiwan have seen earnings drop as exports to China have fallen. Year-over-year earnings comparisons were slightly negative in the fourth quarter of last year, and a repeat appears to be playing out during the current first-quarter reporting season. Buyers of tech equipment and other high-end industrial products have been cautious as the trade talks have been under way. It makes sense that companies would be hesitant to make large investments in technology and machinery if they were unsure of the likely outcome of the trade talks and global growth in general.

Two of our biggest concerns over the last 15 months have been the potential for a Federal Reserve (Fed) misstep and a meaningful slowdown in global growth. With Fed worries likely off the table, at least over the balance of this year, the market's attention has turned to global growth. And the president's tweets last Sunday were all that was needed for investors to decide, at least in the short term, that it was time to take a little money off the table after the huge run higher in the stock market since the Christmas Eve panic low. As of the close of trading last Friday, the S&P 500 had rallied more than 25% from that December 24 close. It would be historically quite common for the index to give back 5% or 7% of these big gains. A solid, game-changing rationale wouldn't even be required to spark a modest pullback. We would argue that the market was "looking for an excuse" to take some profits. The president's tweets, in this case, were just the excuse traders could latch on to.

Stocks likely will continue to be extremely sensitive to the potential outcome of U.S./China trade talks and any news surrounding growth in major global economies, especially in Europe. We could very well be entering into a period of increased volatility. The S&P 500 is not far from the midpoint of our year-end 2900-3000 target range and is trading close to what we would consider "fair value." We look for mid-single-digit equity returns in U.S. large-caps over the next 12 months. We believe investors should stay invested.

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